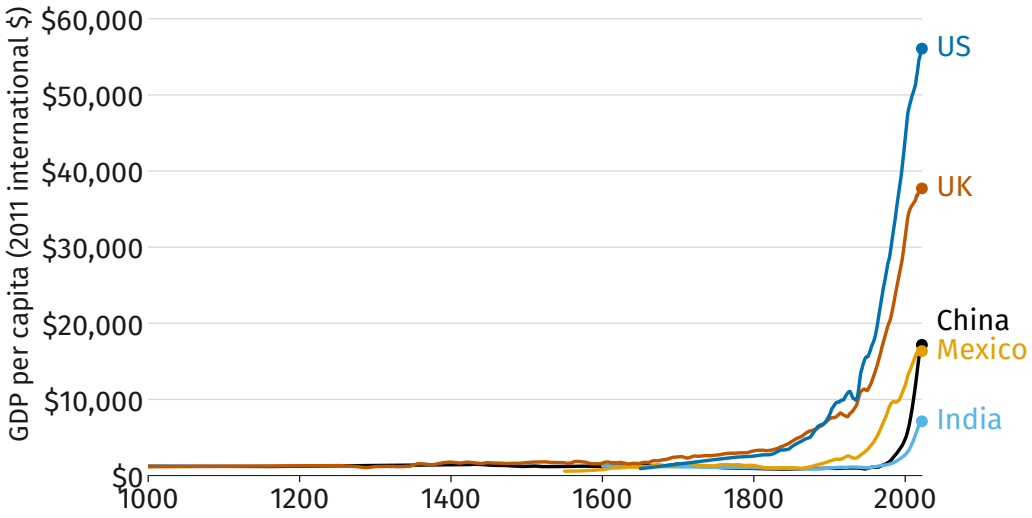
Worksheet: The Capitalist Takeoff

ECON 201

Work with a neighbor. Write your answers in the spaces.

1. History's hockey stick



When do living standards start to rise? Estimate a year for each country from the chart. Think on your own for a minute, then compare with your neighbor.

Country	Rise begins around (year)	Country	Rise begins around (year)
UK	_____	Mexico	_____
US	_____	China	_____
India	_____		

2. The three institutions of capitalism

Capitalism is an economic system built on three institutions: private property, markets, and firms.

(a) For each example, check the institutions that are present.

	Private property	Markets	Firms
A family farm that grows food only for itself	☐	☐	☐
A Saturday farmers' market	☐	☐	☐
A state-owned steel mill in East Germany, 1970	☐	☐	☐
A ride-sharing company with 1,000 drivers	☐	☐	☐

(b) Can a market work without private property? Why or why not? Can a firm exist without markets? Why or why not?